

If resources were invested so that they produce more resources, the world would be a better place because people would then have more things—including food—to use as they please. If they were invested in a way that produces no more output—or even decreases output—the world would be poorer.

In order to believe that transferring money from the rich people to the government is a good thing, you must believe that government bureaucrats will invest it more wisely than its lawful owners. If not, higher taxes on the rich produce poverty and misery, not prosperity and happiness.

It hardly seems necessary to discuss the point further. Government is a notoriously bad capital investor. The trouble is it's hard to prove, because government operates outside of the price system. People do not get to “vote” with their money on whether they wish to send a squadron of fighter planes to Iraq or build a school. They do not get to choose what things have real value and what things do not. The feds decide for them, making choices that usually turn out to be foolish.

Today, a family that wishes to preserve its money over several generations must include taxes at the top of its list of things to worry about. But this takes us back to the most basic question: Why bother?

A STAB IN THE BACK

A letter appeared in the *Financial Times* last year. The author had just returned from a world cruise, on which he had met several elderly passengers. He was disturbed that these senior travelers were spending so much money on world cruises while their grandchildren may be struggling financially. “It is time for the elderly to step up to the plate to support the younger generation,” the writer suggested.⁶

In America, each generation is expected to make it on its own. At least, that is the idea. So old people think they are quite within their rights to spend all their money on themselves, leaving little for their heirs to inherit. They do not see themselves as selfish. Many even think they are doing the next generation a favor, protecting them from sloth and dependence.